

Fearnleys Dry Bulk Weekly

Oct 28, 2025

Capesize/Newcastlemax

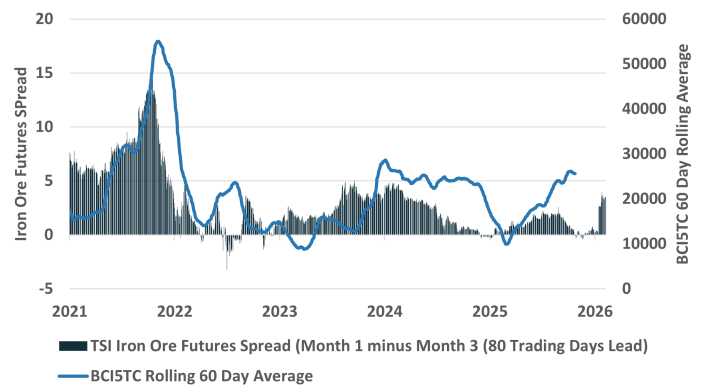
Two weeks ago, we wrote "Wild week behind us, but China's exemptions to self-built ships cooled things off, and it seems the market impact will be minimal. Otherwise, there is no significant change to what we wrote last week. Iron ore demand in China remains stable, as does total iron ore inventories. Bauxite shipments keeps making seasonally adjusted all-time highs. The most interesting data point regarding the near-term is that the ballaster/laden vessel ratio is relatively high, which could cause a correction."

For some time, we have pointed to the iron ore month 1 minus month 3 futures spread as a factor suggesting Q4 could average lower than Q3. The likelihood of that happening seems to increase, as the share of profitable steel mills in China has dropped below 50% - strongly suggesting consumption will continue to trend down until year-end. However, the iron ore futures curve spreads are suggesting the market will strengthen again in Q1.

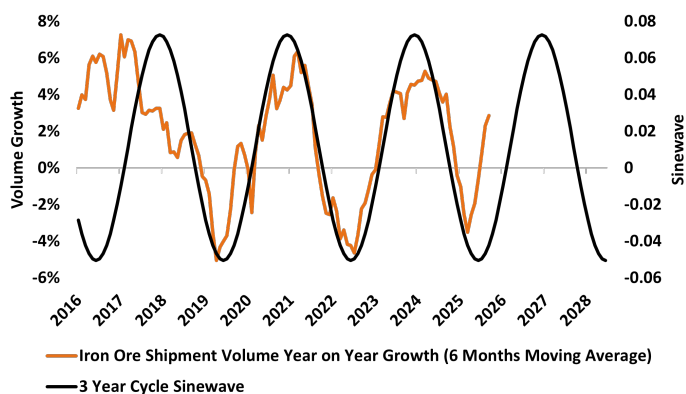
Share of Profitable Steel Mills (7 Weeks Lead) vs Hot Metal Output



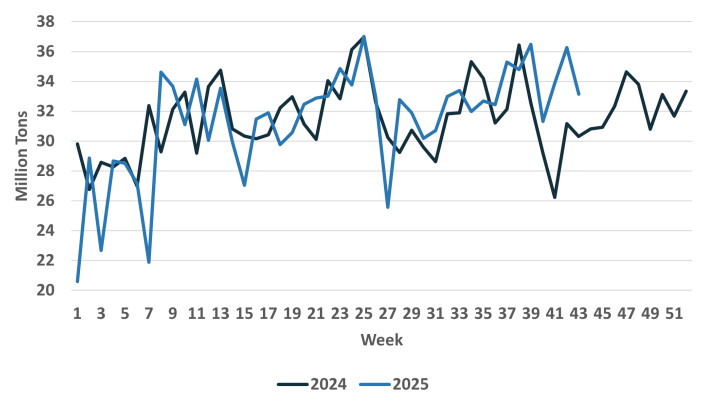
Iron Ore Futures Spread, 1st Month Minus 3rd Month (3 Months Lead) vs BCI5TC 60 Days Rolling Average



Global Iron Ore Shipments Growth, 3 Year Cycle Sinewave



Cape/Newc Weekly Shipment Volumes 24 vs 25





Panamax/Kamsarmax

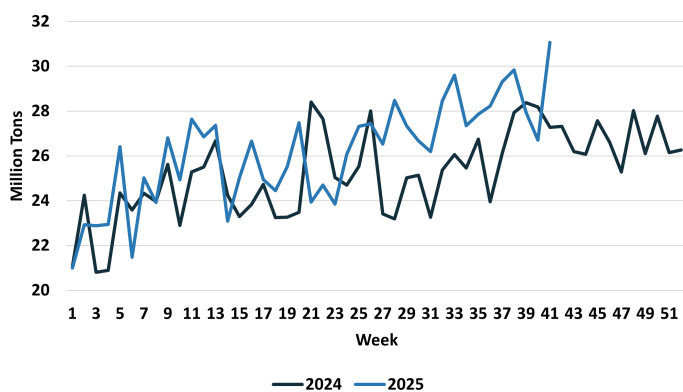
Two weeks ago, we wrote: *"The South Atlantic vessel tightness indicator suggests a peak around the October/November month shift. This could align with a peak in the coal futures curve lead, as that is also peaking around the month shift. The North Atlantic vessel tightness indicator is neutral, having turned a bit more bullish since last week. However, a US-China soybean deal seems out of the question now."*

The market is showing signs of topping, with a correction likely to come. Both the North and South Atlantic vessel availability indicators suggest a peak, as does the coal futures curve indicator. However, contango in the coal futures curve have only increased slightly, so fundamentals are assessed by the coal market to remain far better than it was at the lows in June.

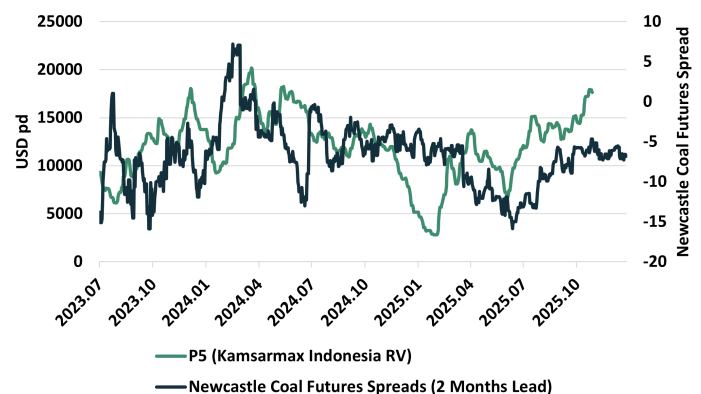
Regarding our comment two weeks ago on the US-China soybean deal, it's suddenly a possibility again. With Trump, you never know...

Regardless of whether there is a deal and Soybeans can flow from the US to China again, demand in China is not strong at the moment, with crush margins negative and port stocks the highest since 2021. State-owned companies in China would have to stand for the buying if there is a good agreement between Xi and Trump.

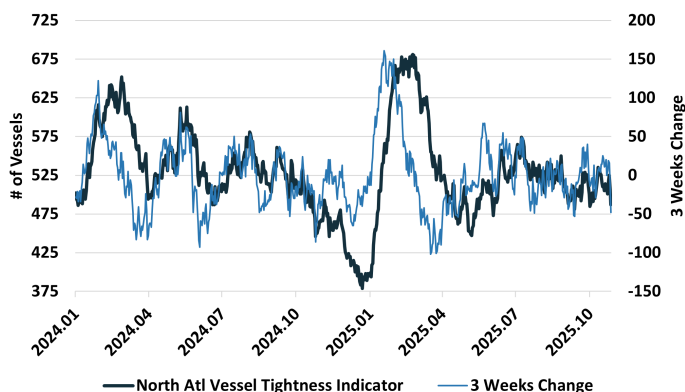
Panamax / Kamsarmax Weekly Shipment Volumes 24 vs 25



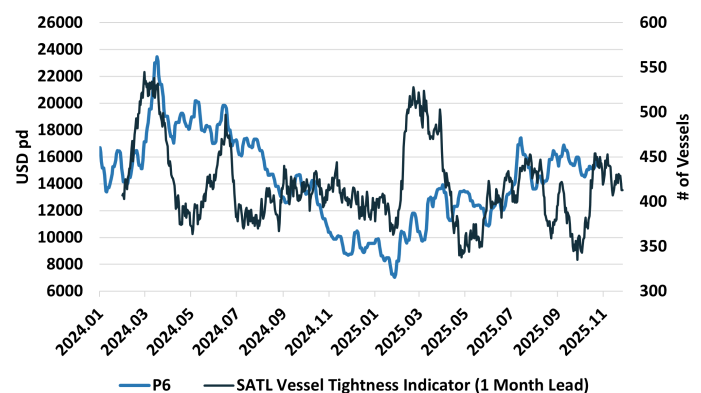
P5 vs Newcastle Coal Futures Curve Spread (Lead 2 Months)



North Atlantic Vessel Tightness Indicator



South Atlantic Vessel Tightness Indicator (Lead 1 Month), vs P6



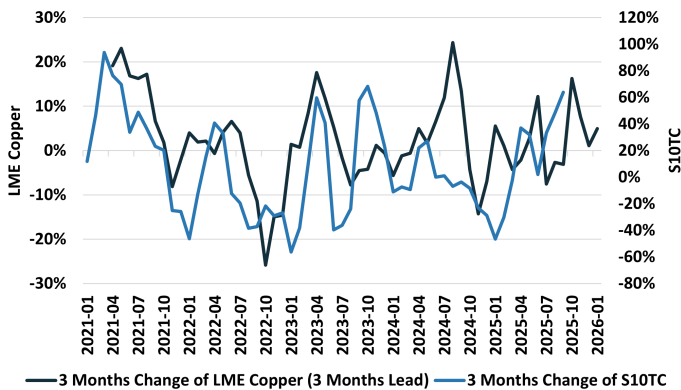


Supramax/Ultramax

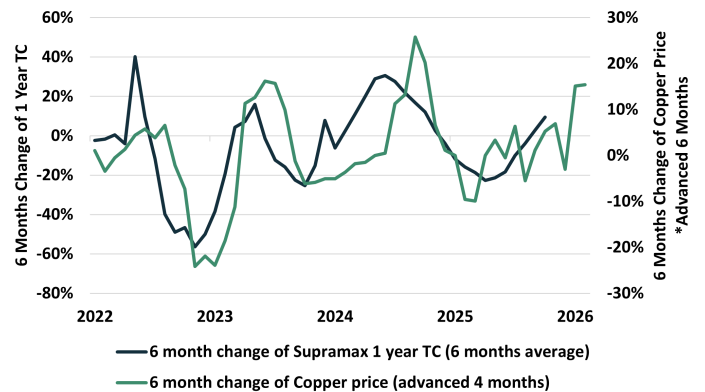
Two weeks ago, we wrote: "Pacific routes are likely to be stable to firm in the near-term, whereas downside risk in the Atlantic remains. As predicted by the price change of copper, market momentum has peaked, so new 11TC/10TC index highs are unlikely before year-end, basis the 3 months lead shown on the top left chart."

We still expect that the highs for the year are past us, with most of the downside risk in the Atlantic. If we are correct that the Kamsarmax market in the Pacific is topping here, it is hard to expect further upside for Ultras in that basin. We think the market floor is higher than the first half of this year, so a major downward correction is unlikely. Industrial metals have risen significantly in the last months, and Manufacturing PMIs have improved as well.

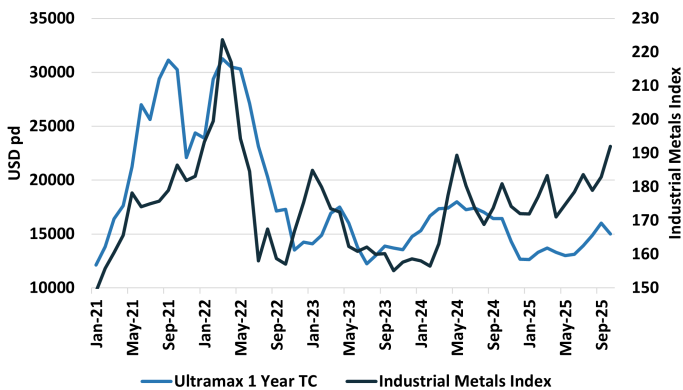
Copper Price 3 Months Change, 3 Months Lead vs 3 Months Change of Supra 10TC



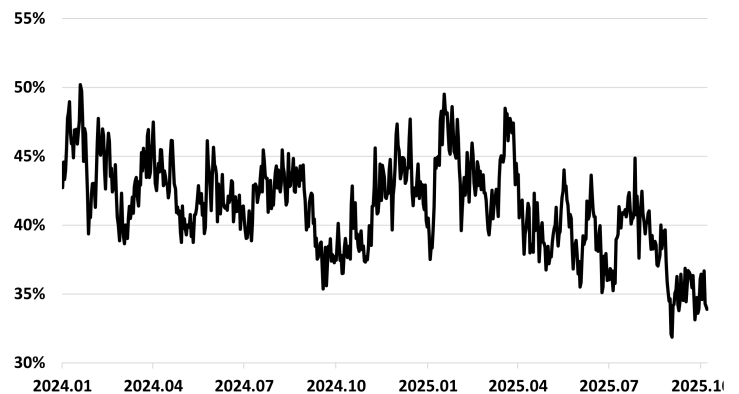
Copper Price 6 months Change, 4 Month Lead vs Supramax 1 Year TC 6 Months Change



Industrial Metals Index vs Ultramax 1 Year TC



Supra/Ultra Ballaster/Laden Vessel Ratio





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